

Boyuk et al. v. Loblaws Supermarkets Ltd.

[Indexed as: Boyuk v. Loblaws Supermarkets Ltd.]

85 O.R. (3d) 614

Ontario Superior Court of Justice,

Perell J.

February 28, 2007

Civil procedure -- Costs -- Family Law Act claims -- Costs not awarded against Family Law Act claimant in unsuccessful personal injury action -- Automatic exposure to costs award would discourage family members from making Family Law Act claims -- Family Law Act, R.S.O. 1990, c. F.3, s. 61.

A personal injury action, in which a Family Law Act claim was asserted by the injured party's daughter, was dismissed. The plaintiffs acknowledged that there should be a costs award against the mother, but submitted that no costs award should be made against the daughter.

Held, costs should be awarded against the mother only.

The daughter's claim was a statutory and derivative one, and her participation to assert that claim should not expose her to a costs award. If unsuccessful Family Law Act claimants were automatically exposed to costs, it would discourage family members from making those claims. Apart from the lack of success, which depended upon the failure of her mother's claim, there was nothing to justify a costs award against the daughter.

Statutes referred to

RULING on costs.

Theodore P. Charney and H. Jack Parsekhian, for plaintiffs.

Wayne Morris, for defendant.

[1] Costs Endorsement by PERELL J.: -- This is a slip and fall personal injury claim. The main plaintiff is Ann Boyuk, who fell at a Loblaws store. The other plaintiff is her daughter, Peggy Ann Boyuk, who was just recently added to the action to assert a claim under s. 61 of the Family Law Act, R.S.O. 1990, c. F.3.

[2] Although the quantum of costs is challenged, the plaintiffs acknowledge that there should be a costs award on a partial indemnity basis against the plaintiff Ann Boyuk, but they submit that no costs award should be made against the co-plaintiff Peggy Ann Boyuk.

[3] I agree that in the circumstances of this case, it is appropriate to make a costs award only against the elder Boyuk. Her daughter's claim was a statutory and derivative one, and the daughter's participation to assert this derivative claim, although unsuccessful, should not expose her to a costs award.

[4] I agree with the submission of plaintiffs' counsel that if unsuccessful Family Law Act claimants were automatically [page615] exposed to costs, it would discourage family members from making these claims, although the legislation clearly intended that such claims are available to them. Apart from the lack of success, which really depends upon the failure of her mother's claim, there is nothing to justify a costs award against Peggy Ann Boyuk, and I decline to make one.

[5] This leaves then the matter of the quantum of costs to be paid by the unsuccessful Ann Boyuk, the main plaintiff.

[6] The material filed by the defendant indicates that as between lawyer and client, it will be or has been charged \$45,411 for fees including the counsel fee for the trial and \$2,587.99 for disbursements and GST for a total charge of \$47,998.99.

[7] In making these charges, it appears that the defendant's senior counsel is charging at the rate of \$280/hour, which he also claims as his partial indemnity rate. Similarly, the junior lawyers and law clerks involved in this matter do not differentiate between their actual rates and their partial indemnity rates, which are \$140/hour and \$100/hour respectively.

[8] Loblaws' claim for costs, is not, however, \$47,998.99; rather, it is seeking \$35,000 all inclusive of fees, disbursements and GST.

[9] In the plaintiffs' costs submissions, they state that the hourly rates by counsel for the defendant are the rates which were billed to Loblaws and hence if costs were awarded on these rates, Loblaws would receive full indemnity. This submission ignores the fact that Loblaws' lawyers have reduced their total lawyer and client charges by around 27 per cent. It may also be noted that the rates being charged by Loblaws' lawyers are relatively modest.

[10] The plaintiffs submit that with an adjustment to the rates for Loblaws' lawyers and to the hours of work performed by the junior lawyers that the appropriate partial indemnity costs would be \$20,724 for fees, \$1,969.12 for disbursements, plus GST (which I reckon to be \$1,361.59), for a total award of \$24,054.71.

[11] I am persuaded that some modest adjustment should be made to the calculation of the defendant's partial indemnity costs to account for the factors identified by the plaintiffs.

[12] I conclude that the appropriate award in all the circumstances is \$30,000 all inclusive of fees, disbursements and GST.

[13] An order should issue accordingly.

Order accordingly. [page616]